

production. The first plant is scheduled to come on stream at the end of next year. I often find that the market won't pay anything for production potential that is more than a year away.

As another example, we had a substantial long position in emerging market wireless during the past five years. Some developed countries have cell phone penetration rates greater than 100 percent (some people have more than one cell phone). The simple idea that drove this investment was the expectation that the emerging market penetration rate, which at the time was about 60 percent for the sector, would approach closer to developed market rates because the utility of cell phones was so high.

The general principle is that we look for future revenue generation that can be reasonably anticipated but that is not reflected by the current market price. This idea is probably the single most important concept in our stock selection process.



There is an important lesson provided by Claugus that is both specific to the stock market and also has general implications for all investors: Vary exposure based on opportunity. In terms of stock investing, Claugus will vary his net exposure between theoretical extremes at 70 percent net short and 110 percent net long, depending on the placement of current prices within the price band that contains 95 percent of all price observations. When stock prices are near the low end of the long-term price band, Claugus will hold a maximum long position. Conversely, when prices are near the upper end of the band, he will hold a maximum short position. Varying the net exposure based on the prevailing opportunity provides for substantial improvement over an investment approach that maintains net exposure within a narrow range.

One of Claugus's major themes in selecting individual stocks is looking for companies that will benefit from a future development that is not being priced into the current market. The source of the improvement can take many forms including anticipated new sources of production, new technology, an expected increase in asset values, and so on. Claugus says that if a revenue source is more than a year away, the market will often fail